

Cord Meyer's Bay Terrace Build Shows Retail Owners Are Becoming Developers to Unlock Land Value

145 rental units atop a shopping center parking lot reveal the capital logic of densification in constrained submarkets.

The most interesting number in Cord Meyer Development's new 145-unit project at the Bay Terrace Shopping Center is not the unit count. It is the fact that the buildings are going up on two surface parking lots. That detail reveals the capital logic underneath the headline. Cord Meyer is not building apartments because it wants to be a residential developer.

It is building apartments because the land under those parking lots has a higher and better use than storing cars. And in a market where retail rents have compressed and construction financing remains expensive, the only way to justify the capital outlay is to capture the residual land value through densification.

The three five-story buildings, designed by STUDIO V Architecture, will add 145 rental units to the 326,445-square-foot shopping complex in Bayside, Queens. The project is being built as-of-right, meaning Cord Meyer does not need zoning changes or discretionary approvals. That matters. As-of-right development removes timeline risk and political uncertainty, two variables that have killed countless New York City projects in the last five years.

What the market should watch is the capital stack. Cord Meyer is a family-owned developer with a long track record in Queens. It likely has the balance sheet to self-equity this project or access local bank debt at favorable terms. But the real signal is that the company chose to build now, when construction costs are still elevated and the Federal Reserve has not yet cut rates.

The timing suggests Cord Meyer sees demand for rental housing in Bayside that is strong enough to absorb 145 units at rents that pencil against today's cost of capital. Bayside is a transit-adjacent, middle-income submarket with limited new supply. That scarcity is the underwriting thesis. For retail owners across the New York metro area, the Bay Terrace project is a template.

Surface parking lots are the cheapest land on a retail property's balance sheet. Converting them to residential captures the uplift without disrupting the core retail operation. The new road connecting the buildings to the existing parking garage shows Cord Meyer is thinking about circulation and tenant experience, not just unit count. The project also benefits from the existing retail amenity.

Residents will have a grocery store, pharmacy, and other services steps from their front door. That is a leasing advantage that a standalone multifamily building in a less dense location cannot replicate. Who benefits? Cord Meyer, which unlocks land value and adds a recurring income stream. The retail tenants, who get more foot traffic. The neighborhood, which gets housing supply without losing open space.

And the lenders, who get a construction loan secured by a sponsor with a proven track record and a project with multiple demand drivers. Who is exposed? Any developer trying to build a similar project on a more expensive site or with a weaker sponsor. The Bay Terrace model works because the land was already owned, the zoning was already in place, and the retail anchor was already performing.

Replicating that combination is harder than it looks. The next phase of the market will not be defined by who builds the tallest tower. It will be defined by who owns the cheapest land and has the patience to develop it.

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